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UNIT III SERVICE BUSINESS - I

CHAPTER 15 INSURANCE

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Learning Objectives

To enable the students to

i. learn the concept of Insurance
ii. understand the meaning and principles of Insurance and its types
iii. know various risks in business
iv. legal protection through IRDA

Introduction

"Uncertainty is inherent in human life"

Every business is exposed to different types of risks such as fire, theft, accident etc. Some of the risks can be transferred to specialized institution known as Insurance Companies. Insurance substitute this uncertainty by providing financial compensation. Insurance is nothing but socialization of risks. Insurance companies indemnify the loss of the insured.



15.01 Meaning and Definition of Insurance

Insurance is a contract between the insurer and the insured under which the insurer undertakes to compensate the insured for the loss arising from the risk insured against, in consideration the insured agrees to pay premium regularly. The person whose risk insured is called the insured or assured. The person who agrees to compensate the loss arising from the risk is called the insurer or assurer (or underwriter)

Insurance is a means of providing monetary coverage against loss caused by natural or man-made factors

Definition

"Insurance is a plan by themselves which large number of people associate and transfer to the shoulders of all, risk that attacks to individuals"

- According to John Merge

15.02 Principles of Insurance

Insurance concept was started to distribute risk among group of people. Co-operation is the basic principle behind every Insurance contract. The following are the important principles of Insurance